# ApexSphere Q2 Financial and Expansion Strategy

Prepared by the Office of the CFO · Board pre-read · Classification: Confidential (fictional)

## 1. Financial performance

ApexSphere reported Q2 revenue of $142.6 million, up 11% year over year, with an adjusted EBITDA margin of 38%. Colocation revenue grew faster than interconnection revenue, reflecting strong demand for high-density capacity in the Southeast.

Customer churn remained low at 1.2% of monthly recurring revenue.

| Metric | Q2 |
|---|---|
| Revenue | $142.6M |
| YoY growth | 11% |
| Adj. EBITDA margin | 38% |

## 2. Atlanta expansion proposal (ATL-2)

Management proposes building ATL-2, a new Atlanta facility adjacent to ATL-1. Phase 1 would add 24 MW of critical IT capacity at an estimated capital cost of $310 million, with a target in-service date of Q3 2028.

Customers have already committed to pre-lease 40% of Phase 1 capacity. At full lease-up, management projects a payback period of 6.5 years.

## 3. Capital allocation

The proposed 2027 capital budget is $420 million. It includes a $38 million infrastructure remediation allocation for ATL-1, which covers the engineering plan's estimate plus contingency.

Net leverage is currently 3.9x against a debt covenant maximum of 4.5x. Funding ATL-2 Phase 1 and the remediation program in the same year would bring projected net leverage to 4.3x at peak.

## 4. Risks to the plan

The utility, Peachtree Regional Power, has quoted a 30-month lead time for the new ATL-2 substation interconnect, which makes the Q3 2028 date dependent on an early commitment.

Construction cost inflation is running at about 7% a year, and any slip in the schedule increases the capital estimate. A serious outage at ATL-1 during the expansion could also put the 40% pre-lease commitments at risk.